Vote-Selling and Vote-Buying: Does the House Always Win? Gambling Votes in the Lab

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May 29, 2026

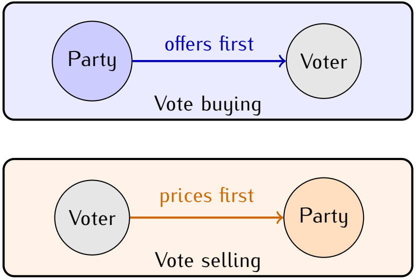
Today we're Going to Talk about Sequencing

- Sequencing creates losers and winners depending on **who plays first**.

✓ My talk will be about **sequencing in clientelism**.

- **Does moving first help parties buy cheaper, or help voters sell higher?**

Same exchange, different first mover



Who moves first changes
who captures the surplus.

Clientelism: distribution of private rewards to individuals during political elections in exchange for electoral support (Nichter, 2014).

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E.g., cash for your vote.

Sequencing and Clientelism: Supply and Demand

- **Qualitative**: how **voters begin** the sequence, and **sell their votes** (vote selling).
- **Quantitative**: how **parties begin** the sequence, and **buy votes** (vote buying).

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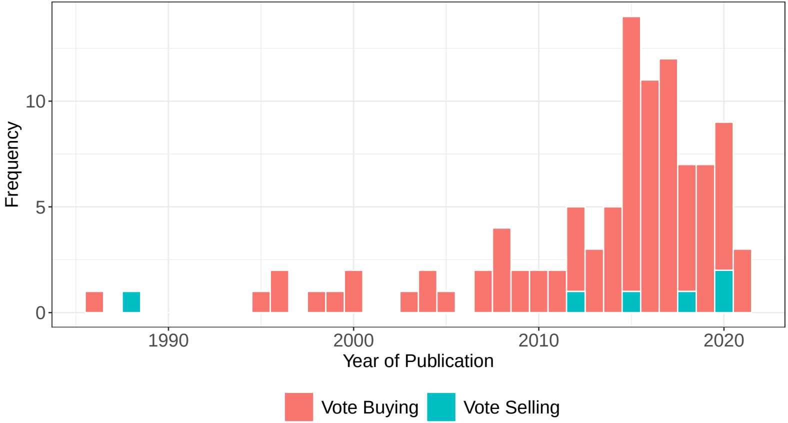
✓ **We argue**: clientelism is a **market**, with both *buyers* **and** *sellers*.

✓ **The gap**: the literature has failed to consider the political economy of both vote-buyers *and* vote-sellers.

Sequencing and Clientelism: Supply and Demand



Annual frequency of Web of Science publications whose abstracts include the terms “vote buying” and “vote selling.”

Our Paper and Today's Talk

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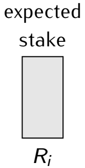
- **Findings**:
  - ✓ When parties move first: transfers concentrate on **party supporters**.
  - ✓ When voters move first: they **demand higher prices** from winning parties that are ideologically far away.
  - ✓ Voters **make more** when parties begin the exchange.

A Prospect-Theoretic Spatial Theory of Vote Buying

- In our design, parties value buying votes because it might reduce electoral loss.

  $R_i = q(v_i, P_d)W_i$



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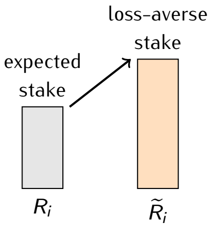

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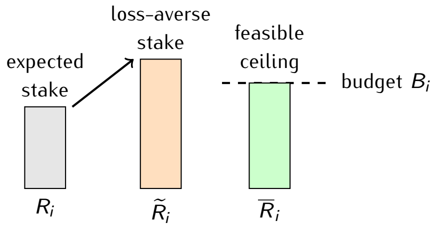

Core idea

Loss aversion makes electoral stakes, R_i, look larger ($\widetilde{R}_i$).

Formally Derived Hypotheses

[H1] Core Targeting Under Party Initiative

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[H3] Higher Voter Payoffs Under Party Initiative

- When parties initiate vote buying, voters can earn more because loss-averse parties may pay an insurance premium above the minimum switching price.

  $s_i = c_i(s_{-i}) + \rho_i$, with ρ_i increasing in λ_i, ℓ_i, and R_i.

Laboratory Implementation

- **Participants and implementation**
  - Following the formal model, we designed a lab experiment in `oTree`.
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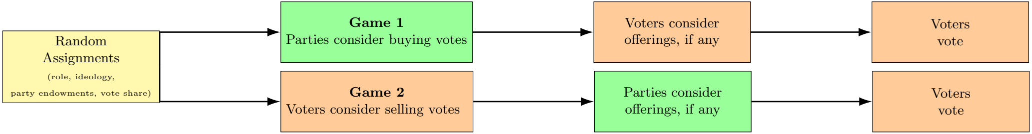
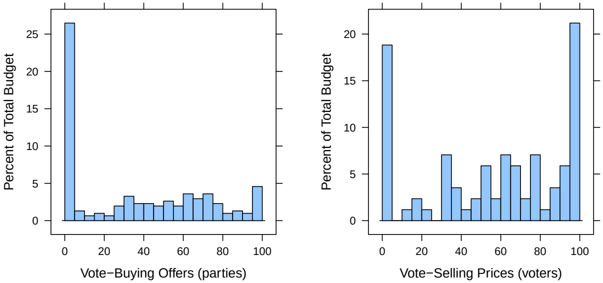
- **What was randomized (3x)**
  - Role (party, voter).
  - Voter's ideology (payoffs if **A** or **B** wins).
  - Party budgets (to buy votes).
  - Vote shares.

Randomized Sequencing in Two Games



The Dependent Variable: Vote-buying and vote-selling prices



- The two histograms describe **very different worlds**:
    - When **parties move first**.
    - When **voters move first**.
- **What explains the differences of these two games?**

Modeling when Parties Begin

- **What explains the variance of the vote-buying offers?** Estimate OLS:

$$\text{Offer}_{di} = \gamma_0 + \gamma_1 \text{Ideology}_{di} + \gamma_2 \text{VoteShare}_{di} + \gamma_3 \text{Pivotal}_d + u_{di}$$

- Also fit a logit model for the probability of making *any* offer (same covariates).
- Standard errors clustered at the party level.

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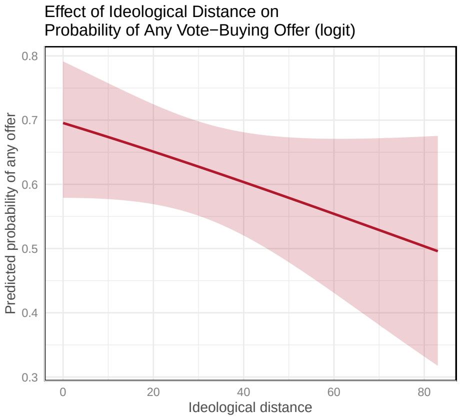
Results: Vote-Buying Offers and Core Targeting



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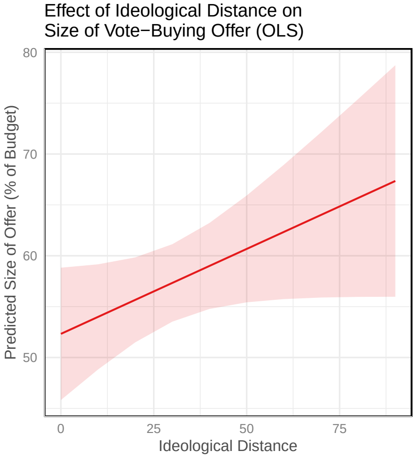

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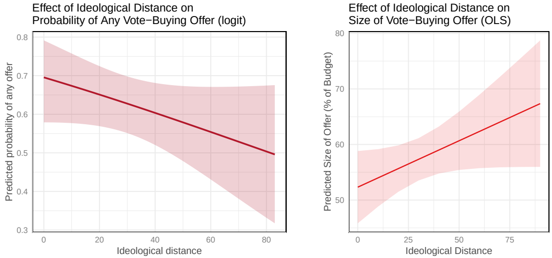

- As ideological distance increases, parties are **less likely** to make any offer at all.
- If they offer, parties pay **more** to more distant voters.
- So: parties target followers cheaply (left), but pay more to buy distant voters (right).

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$$\text{Price}_{di} = \beta_0 + \beta_1 \text{Ideology}_{di} + \beta_2 \text{VoteShare}_{di} + \beta_3 \text{Ideology}_{di} \times \text{VoteShare}_{di} + \beta_4 \text{Pivotal}_{d} + \varepsilon_{di}$$

- Dependent variable: requested price as % of party budget,

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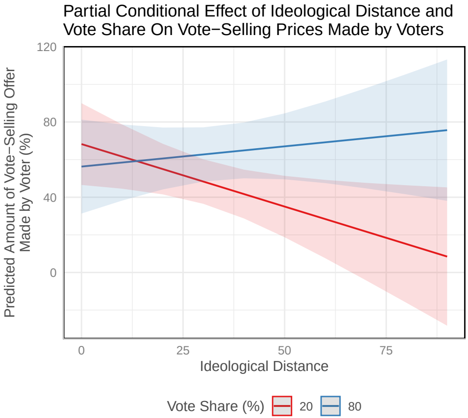
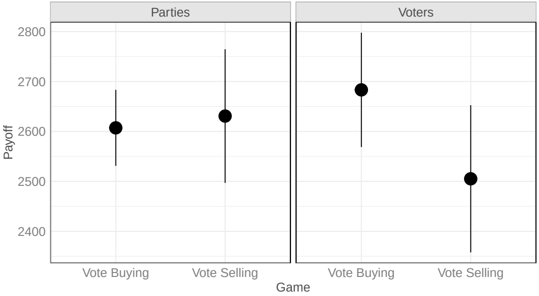
Requested Prices by Ideology and Electoral Strength



- For electorally weak parties, distance lowers requested prices.
- For electorally strong parties, distance raises requested prices: voters demand compensation for switching sides.

Sequencing and Payoffs by Game



- Party payoffs are similar across both games.
- Voters earn more when parties initiate the exchange.

Interpretation

Vote buying lets voters capture more surplus (due to party's loss aversion); **vote selling** generates high demands, but also more rejection.

Main Takeaways

- **Conceptual move**: integrated vote buying *and* vote selling into the same framework.
- **Theory**: formalized a spatial model with one voter and two parties.
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- **Experiment**: based on the formal model, we designed an econ lab experiment.
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Thank you

- Paper and abstract: www.HectorBahamonde.com
- Feedback very welcome.